

Opposition to Compel and Public Local Civil Rule 79.2 Motion to Seal Proposed Exhibits

United States District Court for the Eastern District of North Carolina

Rhea Calder v. Cinder Lake Health Network, Inc.

Civil Action No. SYN-EDNC-25-CV-0882

Docket Entry 29 — Filed February 26, 2026

Cinder Lake opposes Calder's motion to compel and moves under Local Civil Rule 79.2 for sealed treatment of two complete synthetic exhibits provisionally lodged offline: the outside-counsel memorandum and complete privilege log. Public redacted counterparts are filed as Exhibits DE29-1 and DE29-2.

The August 21 letter disclosed conclusions and remediation, not a privileged communication. Cinder Lake asks for document-specific review and opposes Calder's categorical production request. The sealing request is limited to material necessary for deciding that dispute.

Relief Requested

Cinder Lake asks the Court to deny categorical waiver; deny compelled production of the complete investigation files; permit targeted challenges to specified log entries; and preserve ordinary discovery of nonprivileged facts. If review is needed, the Court may use the provisionally lodged copies without making them public.

For sealing, Cinder Lake asks that the complete memorandum and complete log remain restricted while their public counterparts remain available. The motion does not seek to seal the briefs, August 21 letter, nonprivileged chronology, or ordinary-source evidence.

Exact Factual Boundary

The August 21 response said outside counsel reviewed Calder's reports, announced that control weaknesses warranted correction, stated that the review did not substantiate a systemic knowing-submission practice, and described three corporate measures. It revealed no communication to or from counsel.

Cinder Lake has not asserted that counsel approved the discharge, that legal advice proves good faith, or that a confidential conclusion defeats Calder's claim. The merits defense will rely on ordinary employment evidence and witness testimony.

Rule 502(a) Requires a Protected Disclosure

Rule 502(a) addresses the scope of waiver when a disclosure waives attorney-client privilege or work-product protection. Before a same-subject and fairness analysis, the proponent must identify privileged information actually disclosed. Cinder Lake contends Calder identifies only nonprivileged corporate statements.

Intentional delivery of a letter is not the same as intentional disclosure of protected content. The organization does not ask the January 9 Rule 502(d) order to operate retroactively; the letter stands or falls on its own words.

Conclusions Are Not Communications

A client may disclose historical facts, conduct, and its own conclusions without necessarily revealing a confidential attorney communication. The statement that counsel performed a review identifies an event. The stated remediation identifies corporate action. Neither repeats what counsel or a witness said.

Calder's inference that counsel must have advised a particular result does not disclose the content of advice. Treating every announced action as implicit legal advice would expand waiver without comparing the asserted disclosure to a protected communication.

No Advice-of-Counsel Defense

Cinder Lake will not argue that its conduct was lawful because Rowan Vale approved it. It will not offer the complete memorandum as evidence of a good-faith employment decision while withholding cross-examination material. It relies on independently discoverable facts.

Because no selective use of advice is proposed, fairness does not require opening all confidential communications on a broadly defined subject. If a later filing actually uses advice, Calder may seek relief on that changed record.

Subject Matter and Fairness

Even after a protected disclosure, Rule 502(a) limits subject-matter waiver to additional communications concerning the same subject that ought in fairness be considered together. Calder's proposed topic combines billing accuracy, remediation, reporting, employment decisions, preservation, and litigation strategy.

Cinder Lake contends those are distinct communications and workstreams. A categorical order would expose material neither necessary to understand the August 21 words nor fairly responsive to any disclosed communication.

Attorney-Client Privilege

The complete memorandum conveys Rowan Vale's legal analysis to Cinder Lake. Interview records reflect confidential employee communications made so counsel could advise the organizational client. Requests and responses on the log likewise concern legal advice.

Under *Upjohn Co. v. United States*, corporate privilege can protect communications with employees made for legal advice while leaving underlying facts discoverable. Cinder Lake has identified the purpose, participants, dates, and general subjects and does not claim ownership of facts.

Work Product

Counsel prepared interview memoranda, issue outlines, drafts, and litigation assessments because regulatory and retaliation litigation was reasonably anticipated. Those materials reveal selection, emphasis, legal theories, and mental impressions. Calder has ordinary sources for the underlying facts.

The Fourth Circuit's unpublished, nonprecedential disposition in *In re Fluor Intercontinental, Inc.* is offered only as persuasive analogy: a seven-day production order and conclusions that did not reveal privileged communications warranted careful treatment. Cinder Lake does not present Fluor as binding.

Document-Specific Review

The privilege log lists twenty items across five categories. Calder can challenge an entry whose date, participants, purpose, or asserted basis appears deficient. The Court can then assess that communication, any factual severability, and work-product need.

A blanket ruling would skip those steps. *Hawkins v. Stables* places the burden on the privilege proponent and recognizes waiver by actual voluntary disclosure, but that pre-Rule-502 decision does not create categorical modern subject-matter waiver from a shared topic alone.

Related Discovery Remains Available

Cinder Lake has offered final policies, training records, monitoring data, exception summaries, and employment records subject to ordinary objections. Calder may depose personnel about firsthand facts and ask why business actions occurred without demanding what they told counsel.

The organization seeks no blanket bar against related discovery. It asks only that each future request be evaluated under relevance, proportionality, privilege, work product, and the ordinary motion-to-compel process.

Basis for Sealing Under Local Civil Rule 79.2

The proposed sealed exhibits contain confidential legal communications, counsel's mental impressions, employee interview descriptions, and a detailed privilege log whose descriptions could reveal the protected substance. Public filing would cause the very disclosure being litigated and could not be undone.

No less restrictive alternative protects the complete text, but public counterparts preserve page alignment, categories, provenance, and the parties' arguments. The requested duration is through final resolution of protection and any later order governing disposition of the exhibits.

Narrow Tailoring and Access Procedure

Only DE29-S1 and DE29-S2 are proposed sealed. The motion, opposition, certificates, August 21 letter, and public counterparts remain public. The complete copies were tendered as offline paper materials under Standing Order 25-SO-1, In re: Procedures for Access and Management of Sealed Documents.

That procedure does not imply electronic availability. Any person seeking lawful access must proceed under applicable authority and a court order; filing or lodging alone confers no right of access.

Signature and Public Notice

Submitted February 26, 2026 by Mara Voss for Cinder Lake Health Network, Inc. Nina Ashe received the public and complete offline copies as counsel for an entitled party. A public notice of the sealing request accompanies this filing.

Cinder Lake certifies that the January 29 memorandum exchange and February 5 log exchange occurred outside CM/ECF and were not filings. February 26 is the filing and provisional-lodgment date for all four counterparts.